Export Development Canada

Building Canada's TRADE RESILIENCE

Quarterly Financial Report

March 31, 2026 | Unaudited

Canada

EDC

TAKE ON THE WORLD

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Caution regarding forward-looking statements
This document contains projections and other forward-looking statements regarding future events. Such statements require us to make assumptions and are subject to inherent risks and uncertainties. These may cause actual results to differ materially from expectations expressed in the forward-looking statements.

OVERVIEW

Export Development Canada (EDC) is a Crown corporation dedicated to helping Canadian companies of all sizes succeed in global markets. We're Canada's export credit agency and a member of the Government of Canada's international trade portfolio, with offices and representations across Canada and around the world and our head office is located in Ottawa, Ontario. Since 1944, we've equipped Canadian companies with the tools they need—the trade knowledge, connections and financial solutions, including loans, equity and insurance—to grow their business with confidence. Underlying our support is a commitment to sustainable, responsible and inclusive business, aimed at strengthening the way trade serves society and our planet.

Economic Environment

After a turbulent 2025 marked by a volatile trade environment and heightened levels of uncertainty, businesses hoped the new year would bring relative stability. While not immune to tariff impacts, firms had become more adept at navigating the challenges they presented. But in the first quarter of 2026, the global economy was hit by a major supply shock. Joint U.S.-Israeli strikes on Iran sparked broad escalation in the Middle East, disrupting shipping lanes in the Strait of Hormuz and halting the flow of key commodities like oil and liquefied natural gas (LNG).

As a result of the conflict, West Texas Intermediate crude oil prices surged from around US$60 per barrel to nearly US$100 per barrel—the sharpest move since Russia invaded Ukraine in 2022.

In our base case outlook, as the conflict and shipping challenges de-escalate in the second half of 2026, we expect oil prices to fall, and global oil balances to return towards a supply surplus. This will generate oil prices that average around US$70 per barrel in 2026 and US$61 per barrel in 2027.

However, risks to our forecast are tilted to the downside, reflecting renewed global uncertainty. A more extended closure of the Strait of Hormuz than anticipated could lead to nonlinear impacts on crude oil prices, reflecting longer-term damage to extraction and refining infrastructure. Such a scenario would result in weaker global economic growth and higher inflation than what's included in our base case outlook.

EDC continues to believe that economic momentum in the U.S. will continue, despite global headwinds. As a net energy exporter, the U.S. is positioned to navigate current global shocks relatively well. Notwithstanding continued labour market softness, overall consumer spending is holding up, and unemployment remains subdued compared to historical norms. Meanwhile, business investment in infrastructure and data centres continues, and will be supported by the impact of new tax and spending provisions. We expect the U.S. economy to grow by 2.3% in 2026 and 2.2% in 2027.

Resilient growth, a weakening labour market and the prospect of pricing pressures emanating from the war in Iran creates a difficult backdrop for the U.S. Federal Reserve. We expect the Federal Reserve to hold off on any interest rate actions until the end of 2026, when it's expected to reduce the federal funds rate by 25 basis points.

The February 2026 U.S. Supreme Court ruling barring tariffs enacted under the International Emergency Economic Powers Act is unlikely to materially alter the outlook for Canada, since sectoral tariffs remain the primary constraint impacting Canadian exporters. This impact has carried into the labour market, with tariff-exposed sectors experiencing more severe repercussions than the rest of the economy. Business investment also continues to struggle. While the surge in global energy prices will benefit oil producers, higher commodity prices will weigh on consumers and businesses facing rising input costs. Overall, we expect the Canadian economy to manage growth of 1.3% in 2026 and 1.9% in 2027.

We're not anticipating any changes to the Bank of Canada's policy rate this year or next. Together with a more accommodative U.S. Federal Reserve, energy price fluctuations and risks surrounding the review of the Canada-United States-Mexico Agreement (CUSMA) we expect the Canadian dollar to average roughly US$0.74 through in 2026 and 2027, with considerable intra-period volatility.

In a major shift, China's government lowered its growth target for its economy to between 4.5% and 5.0% for 2026. This reflects an economy under strain, as weak domestic demand continues to be subsidized by massive trade surpluses, resulting in ongoing tensions with trade partners. We forecast overall growth at the lower end of the official target, at 4.6% in 2026 and 4.5% in 2027.

Europe faces a more challenging year, given its reliance on LNG shipments. This could leave the region facing relatively higher inflation than North America. Additionally, the Euro Area continues to grapple with a surge in Chinese imports and an uncertain trade relationship with the U.S. In the run up to the 2027 presidential election, France will face continued legislative gridlock and policy paralysis, constraining business conditions. After years of restraint, Germany's massive off-budget investment and defence spending, explicit debt-brake flexibility, and shift from austerity to investment-led fiscal expansion will help boost the 2027 outlook. For the Euro Area as a whole, we expect growth of 1.1% in 2026 and 1.5% in 2027.

Macroeconomic Outlook

Our expected credit loss impairment model uses forward-looking information determined from reasonable and supportable forecasts of future economic conditions as at the reporting date. Our forecasts are updated quarterly, and the impact of the update is reflected in the expected credit losses for the period.

While the weighted outlook is relatively stable, the probability of the downside scenario of a global recession occurring increased slightly this quarter.

In our baseline forecast, we assume the recent move in energy is a temporary geopolitical spike rather than a persistent supply shock.

The most reasonably plausible downside economic scenario sees recession in both developed and emerging markets, to varying degrees. Consumer spending and business investment fall, while labour markets weaken. Governments, sectors, and companies face increased pressures in debt management and renewal.

The most reasonably plausible upside economic scenario would see higher global investment and consumption than in the base case scenario. Investment growth is supported by sustained consumer demand, government industrial policies, AI productivity boost, a reversing of past underinvestment in some sectors, and to a lesser extent an ease of disruption to global supply chains.

Tariffs and U.S. trade policy uncertainty have created economic uncertainty for both Canada and the global economy. It is possible that future tariff announcements, may have an impact on our operations and consolidated financial statements. The timing, duration and size of those impacts is not possible to forecast currently.

Risk Management

Our business activities expose us to a wide variety of financial and non-financial risks. We manage risk with a three lines of defence risk governance structure, which emphasizes and balances strong central oversight of risk with clear accountability for and ownership of risk. The structure governs and operationalizes EDC's risk appetite throughout the organization and provides forums for risks to be appropriately considered, discussed, debated and factored into business decisions at all levels and across all functions. This structure enables us to pursue our strategy as risks evolve and as new risks emerge.

For a more comprehensive discussion on our risk management practices, please refer to pages 96-105 of our 2025 Integrated Annual Report. Refer to Note 9 of the accompanying financial statements for details on financial instrument risks.

Impact of Foreign Exchange Translation on Financial Results

Our foreign currency-denominated results are impacted by exchange rate fluctuations. The Canadian dollar relative to the U.S. dollar weakened in the first quarter of 2026, resulting in a rate of US$0.72 at the end of the quarter compared to US$0.73 at the end of 2025. The impact of the weaker dollar was an increase to our assets and liabilities which are primarily denominated in U.S. dollars and are translated to Canadian dollars at rates prevailing at the statement of financial position date. The components of net income as well as our business facilitated are translated at the average exchange rates. The Canadian dollar averaged US$0.73 against the U.S. dollar in the first quarter of 2026 compared to US$0.70 for the first quarter of 2025.

Business Facilitated

Business facilitated for financing and investments increased by $1.1 billion compared to the same period in 2025 mainly due to an increase in direct lending primarily as a result of a large transaction signed under our Global Corporate Partnerships program.

Business facilitated for international trade guarantees decreased by $346 million compared to the same period in 2025 mainly due to decreased activity in the finance and insurance industry.

Business facilitated for other insurance decreased by $1 billion compared to the same period in 2025 mainly due to decreased activity in the Africa and Middle East region in our financial institutions insurance portfolio.

	For the three months ended	
(in millions of Canadian dollars)	**Mar 2026**	Mar 2025
Direct lending	**3,934**	3,054
Project finance	**546**	360
Loan guarantees	**906**	795
Investments	**117**	234
Total financing and investments	**5,503**	4,443
International trade guarantee[1]	**3,258**	3,604
Other insurance[2]	**24,926**	25,975
Total insurance	**28,184**	29,579
Total	**33,687**	34,022

[1] The comparative amount has been restated.

[2] Includes the credit insurance and financial institutions insurance portfolios.

SUMMARY OF FINANCIAL RESULTS

Financial Performance

(in millions of Canadian dollars)	Mar 2026	Mar 2025	Mar 2026 Corporate Plan
		For the three months ended	
Net financing and investment income	**280**	263	286
Net loan guarantee income	**28**	24	22
Net insurance service revenue[1]	**79**	70	76
Net realized gains (losses)[2]	**20**	43	(9)
Net revenue	**407**	400	375
Administrative expenses	**156**	138	149
Net insurance service expenses[1]	**62**	62	56
Provision for (reversal of) credit losses	**(15)**	184	105
Income before net unrealized (gains) losses	**204**	16	65
Net unrealized (gains) losses on financial instruments[2]	**(70)**	170	-
Net income (loss)	**274**	(154)	65
Other comprehensive income (loss)	**(33)**	(29)	7
Comprehensive income (loss)	**241**	(183)	72

[1] Included in Net Insurance Service Result on the Consolidated Statement of Comprehensive Income.
[2] Included in Other (Income) Expenses on the Consolidated Statement of Comprehensive Income.

Quarter Highlights

We had **net income** of $274 million in the first quarter of 2026 compared to a net loss of $154 million for the same period in 2025 primarily due to net unrealized gains on our financial instruments carried at fair value and a reversal of provision for credit losses.

Net financing and investment income was $280 million in the first quarter of 2026 compared to $263 million for the same period in the prior year mainly due to a decrease in financing-related expenses resulting from reduced management fees and other expenses related to our fund investments portfolio.

Net realized gains of $20 million in the first quarter of 2026 compared to $43 million in the same period in the prior year primarily reflecting lower gain distributions from our fund investments portfolio.

The **reversal of provision for credit losses** of $15 million in the first quarter of 2026 is mainly due to the impact of net upward credit migration in the performing portfolio, partially offset by new impairments, higher impaired provision rates, and the updated macroeconomic outlook. The charge of $184 million for the same period in 2025 was a result of the updated macroeconomic outlook, new impairments and higher impaired provision rates.

Net unrealized gains of $70 million in the first quarter of 2026 compared to net unrealized losses of $170 million in the same period in the prior year were primarily due to the volatility associated with our financial instruments carried at fair value through profit or loss, resulting mainly from recent geopolitical developments and related movements in market interest rates.

We recorded an **other comprehensive loss** of $33 million in the first quarter of 2026 primarily reflecting negative returns from pension plan assets arising from equity market declines amid geopolitical uncertainty related to the Iran conflict.

We recorded **net income** of $274 million for the first quarter of 2026 compared to net income of $65M in the Corporate Plan primarily due to a release of provision for credit losses and net unrealized gains on our financial instruments carried at fair value as previously discussed. Due to the volatility and difficulty in estimating fair value gains and losses, a forecast is not included in the Corporate Plan.

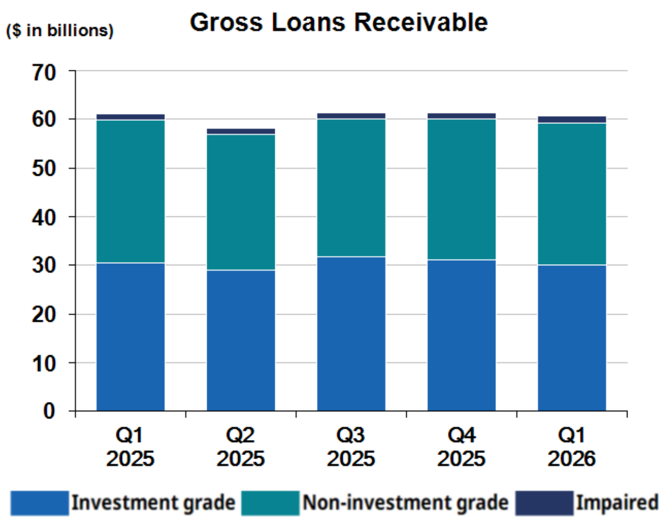
Provision for (Reversal of) Credit Losses by Industry

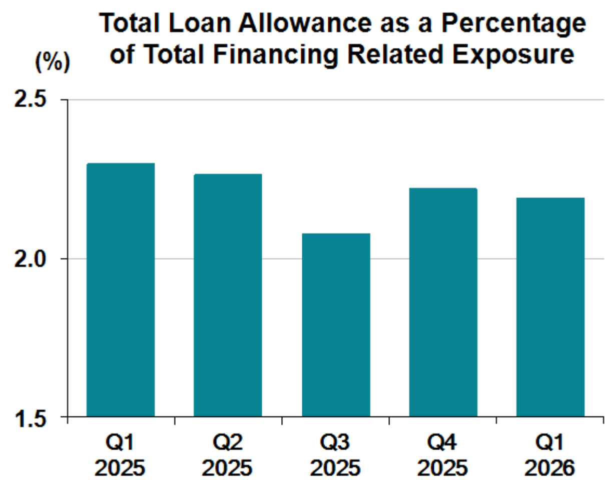
Activity within the provision for (reversal of) credit losses during the first quarter by industry was as follows:

(in millions of Canadian dollars)	**Performing**	**Impaired**	**Mar 2026 Total**	Performing	Impaired	Mar 2025 Total
Utilities	**(29)**	**-**	**(29)**	36	-	36
Commercial properties	**(21)**	**-**	**(21)**	7	-	7
Resources	**(12)**	**28**	**16**	15	15	30
Wholesale and retail trade	**(2)**	**11**	**9**	8	7	15
Transportation and storage	**(4)**	**(1)**	**(5)**	(6)	16	10
Sovereign	**3**	**-**	**3**	(3)	(3)	(6)
Information	**(4)**	**1**	**(3)**	2	4	6
Construction	**(2)**	**-**	**(2)**	(4)	12	8
Professional Services	**(4)**	**5**	**1**	(4)	4	-
Other	**3**	**13**	**16**	18	60	78
Total	**(72)**	**57**	**(15)**	69	115	184

Financial Position

As at (in millions of Canadian dollars)	**Mar 2026**	Dec 2025	Mar 2026 Corporate Plan
Total assets	**76,340**	75,674	75,481
Total liabilities	**64,297**	63,872	64,826
Equity	**12,043**	11,802	10,655
Gross loans receivable	**60,678**	61,381	58,828
Total allowances - loans portfolio	**1,760**	1,760	1,929





Gross loans receivable for the first three months of 2026 are higher than Plan mainly due to higher net disbursements in Q4 2025 than projected at the time the Plan was prepared as well as favourable foreign exchange translation.

Loan allowance as a percentage of total financing exposure was fairly consistent with the end of 2025. The main components impacting the allowance during the first three months of 2026 were as follows:

- new originations – increase of $82 million;
- net repayments and maturities – decrease of $69 million;
- remeasurements due to credit migration – decrease of $37 million;
- impact of foreign exchange – increase of $18 million;
- updated macroeconomic assumptions – increase of $9 million; and
- loan write-offs – decrease of $3 million.

STATEMENT OF MANAGEMENT RESPONSIBILITY

Management is responsible for the preparation and fair presentation of these condensed consolidated quarterly financial statements in accordance with the Treasury Board of Canada's *Directive on Accounting Standards: GC 5200 Crown Corporations Quarterly Financial Reports,* and for such internal controls as management determines is necessary to enable the preparation of condensed consolidated quarterly financial statements that are free from material misstatement. Management is also responsible for ensuring all other information in this Quarterly Financial Report is consistent, where appropriate, with the condensed consolidated quarterly financial statements.

These condensed consolidated quarterly financial statements have not been audited or reviewed by an external auditor.

Based on our knowledge, these unaudited condensed consolidated quarterly financial statements present fairly, in all material respects, the financial position, results of operations and cash flows of the corporation, as at March 31, 2026 and for the periods presented in the condensed consolidated quarterly financial statements.

Alison Nankivell
Alison Nankivell,
President and Chief Executive Officer

Scott Moore
Scott Moore,
Executive Vice-President, Chief Financial Officer and Chief Operating Officer

Ottawa, Canada
May 26, 2026

Export Development Canada

Consolidated Statement of Financial Position

as at

(in millions of Canadian dollars)	Notes	**Mar 2026**	Dec 2025
Assets			
Cash and cash equivalents		**3,593**	1,667
Marketable securities		**6,615**	7,250
Derivative instruments		**1,791**	2,023
Loans receivable	3	**60,800**	61,476
Allowance for losses on loans	3	**(1,360)**	(1,370)
Investments		**3,766**	3,627
Right-of-use assets		**97**	99
Retirement benefit assets		**723**	759
Other assets		**315**	143
Total Assets		**76,340**	75,674
Liabilities and Equity			
Accounts payable and other credits		**372**	225
Loan guarantees	3	**405**	385
Loans payable		**61,828**	61,767
Derivative instruments		**1,170**	936
Lease liabilities		**135**	137
Allowance for losses on loan commitments	3	**30**	40
Insurance contract liabilities	4	**167**	193
Retirement benefit liabilities		**190**	189
Total Liabilities		**64,297**	63,872
Financing commitments (Note 3)			
Share capital	5	**6,046**	6,046
Retained earnings		**5,997**	5,756
Total Equity		**12,043**	11,802
Total Liabilities and Equity		**76,340**	75,674

The accompanying notes are an integral part of these condensed consolidated financial statements.

Export Development Canada

Consolidated Statement of Comprehensive Income (Loss)

(in millions of Canadian dollars)	Notes	For the three months ended **Mar 2026**	 Mar 2025
Financing and Investment Revenue:			
Loans		**839**	913
Marketable securities and cash equivalents		**85**	87
Investments		**3**	6
Total financing and investment revenue		**927**	1,006
Interest expense		**624**	703
Financing-related expenses		**23**	40
Net Financing and Investment Income		**280**	263
Net Loan Guarantee Income		**28**	24
Insurance revenue	6	**86**	81
Insurance service expenses	6	**(62)**	(61)
Reinsurance service expenses		**(7)**	(12)
Net Insurance Service Result		**17**	8
Other (Income) Expenses	7	**(90)**	127
Administrative Expenses	8	**156**	138
Income before Credit Losses		**259**	30
Provision for (Reversal of) Credit Losses	3	**(15)**	184
Net Income (Loss)		**274**	(154)
Other comprehensive loss:			
Retirement benefit plans remeasurement		**(33)**	(29)
Comprehensive Income (Loss)		**241**	(183)

The accompanying notes are an integral part of these condensed consolidated financial statements.

Export Development Canada

Consolidated Statement of Changes in Equity

(in millions of Canadian dollars)	For the three months ended Mar 2026	Mar 2025
Share Capital	**6,046**	6,046
Retained Earnings		
Balance beginning of period	**5,756**	5,477
Net income (loss)	**274**	(154)
Other comprehensive loss		
Retirement benefit plans remeasurement	**(33)**	(29)
Balance end of period	**5,997**	5,294
Total Equity End of Period	**12,043**	11,340

The accompanying notes are an integral part of these condensed consolidated financial statements.

Export Development Canada

Consolidated Statement of Cash Flows

(in millions of Canadian dollars)	For the three months ended Mar 2026	Mar 2025
Cash Flows from (used in) Operating Activities		
Net income (loss)	**274**	(154)
Adjustments to determine net cash flows from (used in) operating activities		
Provision for (reversal of) credit losses	**(15)**	184
Depreciation and amortization	**6**	6
Net realized gains	**(16)**	(44)
Changes in assets and liabilities		
Change in accrued interest and fees on loans receivable	**(61)**	(104)
Change in accrued interest and fair value of marketable securities[1]	**38**	(86)
Change in accrued interest and fair value of loans payable	**(732)**	115
Change in fair value of investments	**(20)**	39
Change in derivative instruments	**106**	(422)
Other[1]	**160**	(46)
Loan disbursements	**(3,064)**	(5,235)
Loan repayments and principal recoveries from loan asset sales	**4,564**	4,438
Net cash from (used in) operating activities	**1,240**	(1,309)
Cash Flows from (used in) Investing Activities		
Disbursements for investments	**(120)**	(171)
Receipts from investments	**44**	96
Purchases of marketable securities	**(1,303)**	(1,792)
Sales/maturities of marketable securities	**1,996**	1,477
Purchases of property, plant and equipment	**(4)**	-
Net cash from (used in) investing activities	**613**	(390)
Cash Flows from (used in) Financing Activities		
Issue of long-term loans payable	**4,898**	5,330
Repayment of long-term loans payable	**(4,010)**	(5,136)
Issue of short-term loans payable	**4,199**	4,308
Repayment of short-term loans payable	**(5,193)**	(4,845)
Issue/repayment of short-term loans payable at amortized cost	**100**	-
Disbursements from sale/maturity of derivative instruments	**(11)**	(230)
Receipts from sale/maturity of derivative instruments	**63**	32
Net cash from (used in) financing activities	**46**	(541)
Effect of exchange rate changes on cash and cash equivalents	**27**	1
Net increase (decrease) in cash and cash equivalents	**1,926**	(2,239)
Cash and cash equivalents		
Beginning of period	**1,667**	4,430
End of period	**3,593**	2,191
Cash and cash equivalents are comprised of:		
Cash	**534**	403
Cash equivalents	**3,059**	1,788
	3,593	2,191
Operating Cash Flows from Interest		
Cash paid for interest	**880**	1,129
Cash received for interest	**793**	859

[1] Comparative figures have been reclassified to conform with current year presentation.

The accompanying notes are an integral part of these condensed consolidated financial statements.

Notes to the Condensed Consolidated Financial Statements

1. Material Accounting Policy Information

Basis of Presentation

Our unaudited condensed consolidated financial statements comply with the *Directive on Accounting Standards: G5200 Crown Corporations Quarterly Financial Report* issued by the Treasury Board of Canada.

Except as indicated below, these condensed consolidated financial statements follow the same accounting policies and methods of computation as our audited consolidated financial statements for the year ended December 31, 2025. They should be read in conjunction with the audited consolidated financial statements for the year ended December 31, 2025 and the accompanying notes as set out on pages 122 to 166 of our 2025 Integrated Annual Report.

Unless otherwise stated, the condensed consolidated financial statements are presented in millions of Canadian dollars, which is the functional currency of Export Development Canada (EDC).

These condensed consolidated financial statements are as at and for the three months ended March 31, 2026, and were approved and authorized for issuance by the Audit Committee of the Board of Directors on May 26, 2026.

Pursuant to the Export Development Act, the Minister of International Trade, with the concurrence of the Minister of Finance, may authorize us to undertake certain financial and contingent liability transactions on behalf of the Government of Canada. These transactions and the legislative authorities that underlie them have come to be known collectively as “Canada Account.” Accounts for these transactions are maintained separately from our accounts and are consolidated annually as at March 31 with the financial statements of the Government of Canada, which are reported upon separately by the Government and audited by the Auditor General of Canada.

Basis of Consolidation

Our consolidated financial statements include the assets, liabilities, results of operations and cash flows of our wholly owned subsidiaries and those structured entities consolidated under *IFRS 10 – Consolidated Financial Statements*. Intercompany transactions and balances have been eliminated.

Application of New International Financial Reporting Standards

New standards, amendments and interpretations adopted during the quarter

The following amendments issued by the IASB were adopted for the annual period beginning January 1, 2026:

On May 30, 2024, the IASB issued amendments to IFRS 9 and IFRS 7 – Amendments to the Classification and Measurement of Financial Instruments which aim to clarify how financial instruments are classified, measured, and disclosed in relation to environmental, social and governance (ESG) considerations and electronic transactions. The adoption of the amendments impacted the timing of derecognition for certain financial liabilities but did not affect their measurement. The amendments introduce an exception for earlier derecognition of certain financial liabilities where specified criteria are met. We have elected not to apply this exception as the required criteria are not met. As a result of the adoption of the amendments, a change in accounting policy was made to derecognize marketable securities at the settlement date instead of the trade date. The adoption of the change in accounting policy did not have a significant impact on the consolidated financial statements and disclosure was updated to Note 2 in our 2025 Integrated Annual Report. The change was implemented retrospectively without restatement.

Standards, amendments and interpretations issued but not yet in effect

There were no new standards, amendments or interpretations issued in the first quarter of the year that would have a possible effect on the Consolidated Financial Statements in the future.

The standards, amendments and interpretations issued but not yet in effect are disclosed in Note 2 of our audited consolidated financial statements for the year ended December 31, 2025.

Use of Estimates and Key Judgements

The preparation of financial statements requires the use of estimates and key judgements. Judgement is required in the selection of accounting policies, and their application requires the use of estimates and assumptions to arrive at the reported carrying values of our assets and liabilities. Other areas where management has made use of significant estimates and exercised judgement include financial instruments measured at fair value, allowance for credit losses, insurance contract liabilities, insurance service result and retirement benefit plans. Refer to page 124 of our 2025 Integrated Annual Report for additional details.

2. Fair Value of Financial Instruments

Fair value represents our estimation of the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. For a full description of our controls, policies and valuation techniques surrounding fair value of financial instruments refer to Note 3 on page 131 of the 2025 Integrated Annual Report.

As with any estimate, uncertainty is inherent due to the unpredictability of future events. In the case of estimating the fair value of our financial instruments, this uncertainty is magnified due to the large number of assumptions used and the wide range of acceptable valuation techniques. Estimates of fair values are based on market conditions at a certain point in time and may not be reflective of future market conditions. Therefore, the estimates of the fair value of financial instruments outlined do not necessarily reflect the actual values that may occur should the instruments be exchanged in the market.

In the process of assessing the fair value for certain investment instruments, estimates determined in a manner consistent with industry practice are employed in the models which cannot be directly observed in the market. The methodologies and values derived from these models were relatively unchanged at the end of the first quarter of 2026 from what was disclosed in the 2025 Integrated Annual Report.

Fair Value Hierarchy

The following table presents the fair value hierarchy of our financial instruments based on whether the inputs to the valuation techniques are observable or unobservable.

- **Level 1** - Fair values are based on quoted prices (unadjusted) in active markets for identical assets or liabilities;
- **Level 2** - Fair values are determined using inputs other than quoted prices included within Level 1 that are observable for the assets or liabilities, either directly (i.e. as prices) or indirectly (i.e. derived from prices); and
- **Level 3** - Fair values are determined using inputs for the assets or liabilities that are not based on observable market data (unobservable inputs).

	Mar 2026					Dec 2025				
	Level 1	**Level 2**	**Level 3**	**Total Fair Value**	**Carrying Value**	Level 1	Level 2	Level 3	Total Fair Value	Carrying Value
Assets										
Performing fixed rate loans	**-**	**11,575**	**637**	**12,212**	**12,992**	-	11,856	680	12,536	13,112
Performing floating rate loans	**-**	**45,900**	**693**	**46,593**	**45,954**	-	46,979	756	47,735	46,579
Total performing loans	**-**	**57,475**	**1,330**	**58,805**	**58,946**	-	58,835	1,436	60,271	59,691
Impaired loans	**-**	**494**	**-**	**494**	**494**	-	415	-	415	415
Loans receivable and accrued interest and fees	**-**	**57,969**	**1,330**	**59,299**	**59,440**	-	59,250	1,436	60,686	60,106
Cash equivalents	**907**	**2,152**	**-**	**3,059**	**3,059**	68	896	-	964	964
Marketable securities	**6,615**	**-**	**-**	**6,615**	**6,615**	7,205	45	-	7,250	7,250
Derivative instruments	**-**	**1,791**	**-**	**1,791**	**1,791**	-	2,023	-	2,023	2,023
Investments	**-**	**-**	**3,766**	**3,766**	**3,766**	-	-	3,627	3,627	3,627
Liabilities										
Loans payable	**-**	**61,829**	**-**	**61,829**	**61,828**	-	61,774	-	61,774	61,767
Derivative instruments	**-**	**1,170**	**-**	**1,170**	**1,170**	-	936	-	936	936
Loan guarantees	**-**	**365**	**-**	**365**	**405**	-	369	-	369	385

The financial instruments included in other assets and accounts payable and other credits are short-term in nature and have a carrying amount that reasonably approximate the fair value.

Changes in valuation methods may result in transfers into or out of Levels 1, 2 and 3. There were no changes in valuation methods in the first three months of 2026.

The following table is a year to date reconciliation of Level 3 fair values for investments carried at fair value:

	2026	2025
Balance beginning of year	**3,627**	3,537
Purchases of assets/issuances of liabilities	**124**	199
Return of capital	**(35)**	(73)
Net unrealized gains (losses) included in other (income) expenses	**19**	(45)
Foreign exchange translation	**31**	2
Balance end of period	**3,766**	3,620
Total gains for the first three months of the year included in comprehensive income for instruments held at the end of the quarter	**29**	5

3. Loans and Allowance for Credit Losses

Loans Receivable

	Mar 2026	Dec 2025
Gross loans receivable	**60,678**	61,381
Accrued interest and fees receivable	**480**	416
Deferred loan revenue and other	**(358)**	(321)
Total loans receivable	**60,800**	61,476

The following reflects the movement in gross loans receivable during the period:

	2026	2025
Balance January 1	**61,381**	59,725
Principal repayments	**(4,564)**	(4,209)
Disbursements	**3,064**	5,235
Loans written off	**(6)**	(20)
Principal recoveries from loan asset sales	**-**	(229)
Capitalized interest	**7**	6
Foreign exchange translation	**796**	659
Balance March 31	**60,678**	61,167

Exposure and Allowance by Credit Grade

The table below presents exposure and allowance by credit grade within our gross loans receivable, loan commitments and loan guarantees portfolios based on the following stage assignments:

- **Stage 1 –** Where there has not been a significant increase in credit risk since origination;
- **Stage 2 –** Where there has been a significant increase in credit risk since origination; and
- **Stage 3 –** Where a financial instrument is considered impaired.

	Non-credit-impaired		Credit-impaired	Mar 2026		Dec 2025	
	Stage 1	Stage 2	Stage 3	$	% of total	$	% of total
Gross loans receivable							
Investment grade[1]	**26,148**	**3,848**	**-**	**29,996**	**50%**	31,172	51%
Non-investment grade	**21,430**	**7,819**	**-**	**29,249**	**48%**	28,927	47%
Individually impaired	**-**	**-**	**1,380**	**1,380**	**2%**	1,219	2%
Originated credit-impaired	**-**	**-**	**53**	**53**	**-**	63	-
Total gross loans receivable	**47,578**	**11,667**	**1,433**	**60,678**	**100%**	61,381	100%
Allowance for losses	**172**	**269**	**919**	**1,360**		1,370	
Net carrying value - loans receivable	**47,406**	**11,398**	**514**	**59,318**		60,011	
Loan commitments							
Investment grade[1]	**4,506**	**314**	**-**	**4,820**	**39%**	3,286	31%
Non-investment grade	**6,379**	**1,156**	**-**	**7,535**	**61%**	7,462	69%
Individually impaired	**-**	**-**	**20**	**20**	**-**	37	-
Total loan commitments	**10,885**	**1,470**	**20**	**12,375**	**100%**	10,785	100%
Allowance for losses	**13**	**8**	**9**	**30**		40	
Net carrying value - loan commitments	**10,872**	**1,462**	**11**	**12,345**		10,745	
Loan guarantees							
Investment grade[1]	**222**	**-**	**-**	**222**	**3%**	219	3%
Non-investment grade	**6,366**	**421**	**-**	**6,787**	**92%**	6,578	92%
Individually impaired	**-**	**-**	**371**	**371**	**5%**	367	5%
Total loan guarantees	**6,588**	**421**	**371**	**7,380**	**100%**	7,164	100%
Allowance for losses	**114**	**18**	**238**	**370**		350	
Net carrying value - loan guarantees	**6,474**	**403**	**133**	**7,010**		6,814	

[1] Investment grade exposure represents obligors with credit ratings of BBB- and above, as determined based on our internal credit risk rating methodology. Exposures are presented before the effects of any risk-mitigation strategies.

Allowance for Losses

Changes to the allowance for losses on loans, loan commitments and loan guarantees as at and for the three months ended March 31 were as follows:

				2026				2025
	Stage 1	**Stage 2**	**Stage 3**	**Total**	Stage 1	Stage 2	Stage 3	Total
Allowance for losses on loans								
Balance beginning of period	**201**	**320**	**849**	**1,370**	144	473	723	1,340
Provision for (reversal of) credit losses								
Transfer to stage 1	**39**	**(39)**	**-**	**-**	57	(57)	-	-
Transfer to stage 2	**(16)**	**16**	**-**	**-**	(16)	16	-	-
Transfer to stage 3	**-**	**(4)**	**4**	**-**	-	(10)	10	-
Remeasurements	**(55)**	**(19)**	**35**	**(39)**	28	28	49	105
New originations	**17**	**8**	**29**	**54**	25	4	13	42
Net repayments and maturities	**(16)**	**(17)**	**(6)**	**(39)**	(10)	(13)	(20)	(43)
Total provision for (reversal of) credit losses	**(31)**	**(55)**	**62**	**(24)**	84	(32)	52	104
Write-offs	**-**	**-**	**(3)**	**(3)**	-	1	(6)	(5)
Foreign exchange translation	**2**	**4**	**11**	**17**	1	8	2	11
Balance end of period	**172**	**269**	**919**	**1,360**	229	450	771	1,450
Allowance for losses on loan commitments								
Balance beginning of period	**17**	**7**	**16**	**40**	17	5	8	30
Provision for (reversal of) credit losses								
Transfer to stage 1	**-**	**-**	**-**	**-**	1	(1)	-	-
Remeasurements	**(1)**	**2**	**(7)**	**(6)**	8	5	5	18
New originations	**2**	**-**	**1**	**3**	1	-	6	7
Net repayments and maturities	**(5)**	**(1)**	**(1)**	**(7)**	(3)	(2)	-	(5)
Total provision for (reversal of) credit losses	**(4)**	**1**	**(7)**	**(10)**	7	2	11	20
Balance end of period	**13**	**8**	**9**	**30**	24	7	19	50
Allowance for losses on loan guarantees								
Balance beginning of period	**108**	**7**	**235**	**350**	49	36	205	290
Provision for (reversal of) credit losses								
Transfer to stage 1	**2**	**(2)**	**-**	**-**	1	(1)	-	-
Transfer to stage 2	**(1)**	**1**	**-**	**-**	(3)	3	-	-
Transfer to stage 3	**-**	**-**	**-**	**-**	(1)	(11)	12	-
Remeasurements	**(9)**	**13**	**13**	**17**	15	1	48	64
New originations	**9**	**-**	**16**	**25**	8	-	6	14
Net repayments and maturities	**5**	**(1)**	**(27)**	**(23)**	(2)	(2)	(14)	(18)
Total provision for (reversal of) credit losses	**6**	**11**	**2**	**19**	18	(10)	52	60
Foreign exchange translation	**-**	**-**	**1**	**1**	-	-	-	-
Balance end of period	**114**	**18**	**238**	**370**	67	26	257	350
Total allowance for losses on loans, loan commitments and loan guarantees	**299**	**295**	**1,166**	**1,760**	320	483	1,047	1,850

Financing Commitments

The following table shows our outstanding financing commitments by type:

	Mar 2026	Dec 2025
Signed loan commitments	**12,375**	10,785
Letters of offer	**3,486**	2,583
Unallocated unconfirmed lines of credit	**140**	137
Total financing commitments	**16,001**	13,505

4. Insurance Contract Liabilities

The following table provides a breakdown of our insurance contract liabilities by portfolio:

				Mar 2026				Dec 2025
	Liabilities for remaining coverage				Liabilities for remaining coverage			
	Excluding loss component	**Loss component**	**Liabilities for incurred claims**	**Insurance contract liabilities**	Excluding loss component	Loss component	Liabilities for incurred claims	Insurance contract liabilities
International trade guarantees	**97**	**6**	**(8)**	**95**	107	8	(10)	105
Other insurance[1]	**(7)**	**29**	**50**	**72**	(2)	21	69	88
Total	**90**	**35**	**42**	**167**	105	29	59	193

[1] Includes the credit insurance, financial institutions insurance and political risk insurance portfolios.

Changes to the insurance contract liabilities as at and for the three months ended March 31 were as follows:

2026

	Liabilities for remaining coverage		**Liabilities for incurred claims**		
	Excluding loss component	**Loss component**	**Estimates of present value of future cash flows**	**Risk adjustment**	**Total**
Balance beginning of period	**105**	**29**	**51**	**8**	**193**
Insurance revenue	**(86)**	**-**	**-**	**-**	**(86)**
Insurance service expenses[(1)]	**3**	**5**	**48**	**(1)**	**55**
Insurance service result	**(83)**	**5**	**48**	**(1)**	**(31)**
Insurance finance expenses	**(1)**	**1**	**1**	**-**	**1**
Total changes in net income	**(84)**	**6**	**49**	**(1)**	**(30)**
Premiums received	**72**	**-**	**-**	**-**	**72**
Claims and other insurance service expenses paid	**-**	**-**	**(65)**	**-**	**(65)**
Acquisition cash flows	**(3)**	**-**	**-**	**-**	**(3)**
Total cash flows	**69**	**-**	**(65)**	**-**	**4**
Balance end of period	**90**	**35**	**35**	**7**	**167**

[(1)] Insurance acquisition cash flows related to credit insurance were $7 million for the three months ended March 31, 2026 (2025 - $6 million) and expensed as incurred.

2025

	Liabilities for remaining coverage		Liabilities for incurred claims		
	Excluding loss component	Loss component	Estimates of present value of future cash flows [(2)]	Risk adjustment	Total
Balance beginning of period	98	50	76	15	239
Insurance revenue	(81)	-	-	-	(81)
Insurance service expenses	3	(2)	54	-	55
Insurance service result	(78)	(2)	54	-	(26)
Insurance finance expenses	2	-	1	-	3
Total changes in net income	(76)	(2)	55	-	(23)
Premiums received	78	-	-	-	78
Claims and other insurance service expenses paid	-	-	(47)	-	(47)
Acquisition cash flows	(3)	-	-	-	(3)
Total cash flows	75	-	(47)	-	28
Balance end of period	97	48	84	15	244

[(2)] Comparative figures have been reclassified to conform with current year presentation.

5. Share Capital

EDC’s authorized share capital is $15.0 billion consisting of 150 million shares with a par value of $100 each. As agreed to with our shareholder, for 2022 onwards, dividends and/or special dividends will be paid by way of a share buyback until such time that our share capital returns to pre-pandemic levels. In the first quarter of 2026, we did not repurchase any shares (2025 – no shares repurchased). The number of shares issued and fully paid at the end of the quarter is 60.46 million (2025 – 60.46 million).

6. Insurance Service Result

Insurance revenue and insurance service expenses broken down by portfolio were as follows:

	Three months ended					
	Mar 2026			Mar 2025 [(1)]		
	International trade guarantees	**Other insurance [(2)]**	**Total**	International trade guarantees	Other insurance [(2)]	Total
Insurance revenue	**50**	**36**	**86**	48	33	81
Insurance service expenses:						
Incurred claims and other expenses	**(16)**	**(33)**	**(49)**	(27)	(35)	(62)
Reversal of (losses on) onerous contracts	**3**	**(8)**	**(5)**	9	(7)	2
Acquisition expenses[(3)]	**(3)**	**(7)**	**(10)**	(3)	(6)	(9)
Changes to liabilities for incurred claims	**3**	**(1)**	**2**	7	1	8
Insurance service result	**37**	**(13)**	**24**	34	(14)	20

[(1)] Comparative figures have been reclassified to conform with current year presentation.

[(2)] Includes the credit insurance, financial institutions insurance and political risk insurance portfolios.

[(3)] Acquisition expenses include $7 million of acquisition cash flows related to credit insurance for the three months ended March 31, 2026 (2025 - $6 million) that were expensed as incurred.

7. Other (Income) Expenses

	Three months ended	
	Mar 2026	Mar 2025
Net realized (gains) losses		
Investments	**(12)**	(45)
Derivatives	**(3)**	(6)
Marketable securities[(4)]	**(1)**	6
Sale of loan assets	**-**	1
Other	**(2)**	(1)
Total net realized (gains) losses	**(18)**	(45)
Net unrealized (gains) losses		
Loans payable	**(369)**	476
Derivatives	**289**	(264)
Marketable securities[(4)]	**30**	(81)
Investments	**(20)**	39
Total net unrealized (gains) losses	**(70)**	170
Foreign exchange translation	**(2)**	2
Total	**(90)**	127

[(4)] Includes gains and losses related to cash equivalents

8. Administrative Expenses

	Three months ended	
	Mar 2026	Mar 2025
Salaries and benefits	**114**	102
Pension benefit expense	**-**	2
Other post-employment benefits and severance expense	**4**	4
Systems costs	**20**	17
Professional services	**18**	14
Occupancy	**8**	7
Information services	**7**	8
Amortization and depreciation	**4**	3
Marketing and communications	**3**	3
Travel, hospitality and conferences	**2**	2
Other	**5**	2
Total administrative expenses	**185**	164
Amounts attributed to insurance contracts	**(29)**	(26)
Total	**156**	138

Amounts attributed to insurance contracts are included in insurance service results under Note 6 and are therefore excluded from the total administrative expenses. Includes $19 million of salaries and benefits (2025 – $18 million), and $4 million of system costs (2025 – $3 million).

9. Financial Instrument Risks

The principal risks that we are exposed to as a result of holding financial instruments are credit, market and liquidity risk. For a full description of our objectives, policies and processes for managing financial instrument risk refer to management's discussion and analysis on pages 97 to 105 and notes related to our derivative instruments and debt instruments on pages 93 to 94 of the 2025 Integrated Annual Report.

Credit Risk

Credit risk is the risk of loss incurred if a counterparty fails to meet its financial commitments. We are exposed to credit risk on financial instruments under both our loans program and our treasury activities.

Concentration of Credit Risk

The following table provides a breakdown, by the country in which the risk resides, of the maximum exposure to credit risk of financial instruments. The exposure includes gross loans receivable, loan guarantees, marketable securities, derivative assets, cash and cash equivalents. The concentration of credit risk exposure provided below also includes the impact of unfunded loan participations and loan default insurance, which we use to mitigate credit risk within the loan portfolio.

	Mar 2026 Exposure		Dec 2025 Exposure	
Country	**$**	**%**	$	%
United States	**19,746**	**25**	20,405	26
Canada	**16,286**	**20**	14,676	18
United Kingdom	**7,497**	**9**	7,265	9
Chile	**7,338**	**9**	7,718	10
Australia	**5,167**	**6**	4,828	6
Germany	**2,680**	**3**	2,876	4
India	**2,493**	**3**	2,666	3
Brazil	**2,347**	**3**	2,192	3
Mexico	**1,743**	**2**	1,960	2
France	**1,221**	**2**	1,187	1
Other	**13,539**	**18**	13,712	18
Total	**80,057**	**100**	79,485	100

The concentration of credit risk by industry for our financial instruments is as follows:

	Mar 2026 Exposure		Dec 2025 Exposure	
Industry	**$**	**%**	$	%
Commercial:				
Utilities	**12,534**	**16**	11,752	15
Finance and insurance	**11,055**	**14**	11,345	14
Transportation and storage	**10,986**	**14**	10,857	14
Manufacturing	**10,462**	**13**	11,207	14
Resources	**8,137**	**10**	7,898	10
Information	**7,853**	**10**	8,336	10
Wholesale and retail trade	**2,848**	**4**	2,895	4
Commercial properties	**1,912**	**2**	1,940	2
Construction	**1,048**	**1**	990	1
Professional services	**979**	**1**	1,048	1
Other	**3,196**	**4**	3,119	5
Total commercial	**71,010**	**89**	71,387	90
Sovereign	**9,047**	**11**	8,098	10
Total	**80,057**	**100**	79,485	100

10. Related Party Transactions

We enter into transactions with other government departments, agencies and Crown corporations and our Pension Plans in the normal course of business, under terms and conditions similar to those that apply to unrelated parties.

In 2021, EDC's subsidiary FinDev Canada received a $75.9 million Concessional Facility (CF) from Global Affairs Canada (GAC). The CF is an arrangement between GAC and FinDev Canada for the purpose of fulfilling the Government of Canada's Gender Smart COVID-19 Recovery Facility. The portion of the facility allocated for administrative expenses incurred are recorded within our consolidated financial statements as deferred revenue until earned.

In 2025, FinDev Canada received $255 million under a second concessional facility from the Government of Canada. The CF will eventually result in FinDev Canada receiving a total of $720 million, of which $700 million will be used towards investments and $20 million for technical assistance. The facility is intended to include a range of investments to mobilize additional capital for sustainable development. While FinDev Canada does incur administrative expenses related to the CF, it does not recover any costs associated with services rendered under this facility.

In April 2026, the Government of Canada released the Spring Economic Update 2026 outlining measures to provide $2.0 billion in paid-in capital for FinDev Canada, as well as $732 million to expand FinDev Canada's concessional finance facility. These measures will help to mobilize private capital at scale into climate-related businesses as well as projects in emerging markets and developing economies. We expect these initiatives will have an impact on several of our consolidated financial statement line items and financial results in future years. The timing and size of those impacts is not possible to forecast at this time.

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